

Discussion of

**“The rise of shareholder capitalism:
macroeconomic implications”**

by François Gourio and Alessandro T. Villa

Vadim Elenev
Johns Hopkins Carey & Utah Eccles
SFS Cavalcade | May 2026

1996

THE EMPIRE SO FAR

COMPAGNIE
GÉNÉRALE DES EAUX

Water · Waste · Construction · Energy

A 143-year-old water utility. What could go wrong?

1996

Messier becomes chairman

THE EMPIRE SO FAR

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Water · Waste · Construction · Energy

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1997

Wading into media

THE EMPIRE SO FAR

COMPAGNIE
GÉNÉRALE
DES EAUX

HAVAS
(30% stake)

CANAL+
NetHold

Water · Waste · Advertising · Pay-TV

From sewage to celebrity advertising — a logical pivot.

1998

CGE rebrands as VIVENDI

THE EMPIRE SO FAR

VIVENDI
(née CGE)

HAVAS
(full merger)

CANAL+

CENDANT
SOFTWARE

BLIZZARD
+ SIERRA

PATHÉ

Water · Pay-TV · Publishing · Video games · Film

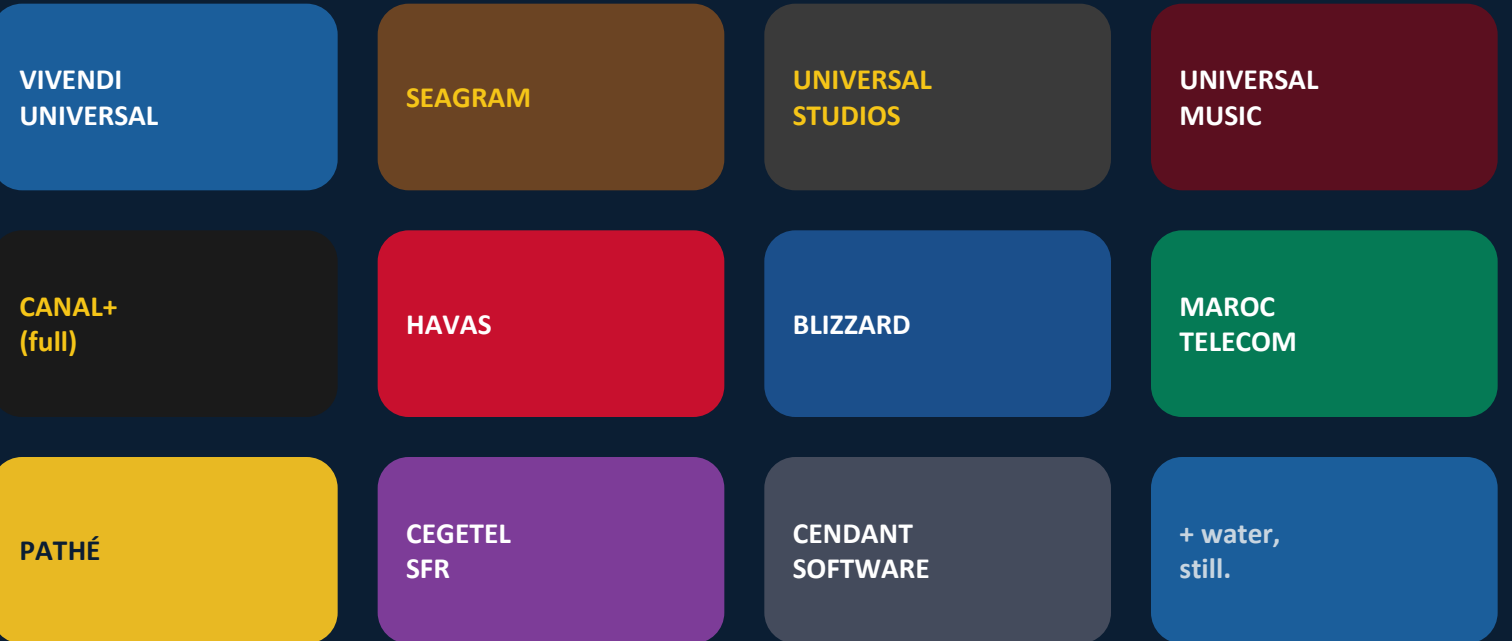
The water company now owns Blizzard. Yes, the video game company.

2000

Renamed VIVENDI UNIVERSAL

\$34B Seagram merger

THE EMPIRE SO FAR



Film · Music · TV · Games · Telecom · Publishing · ...Water

A French water company now owns Hollywood. Briefly the #2 media giant on Earth.

2001

Peak empire

€13.6B loss looming...

THE EMPIRE SO FAR

VIVENDI
UNIVERSAL

UNIVERSAL
STUDIOS

UNIVERSAL
MUSIC

CANAL+

SEAGRAM

HAVAS

BLIZZARD

MAROC
TELECOM

MP3.COM

HOUGHTON
MIFFLIN

USA
NETWORKS

...and
water.

NEW

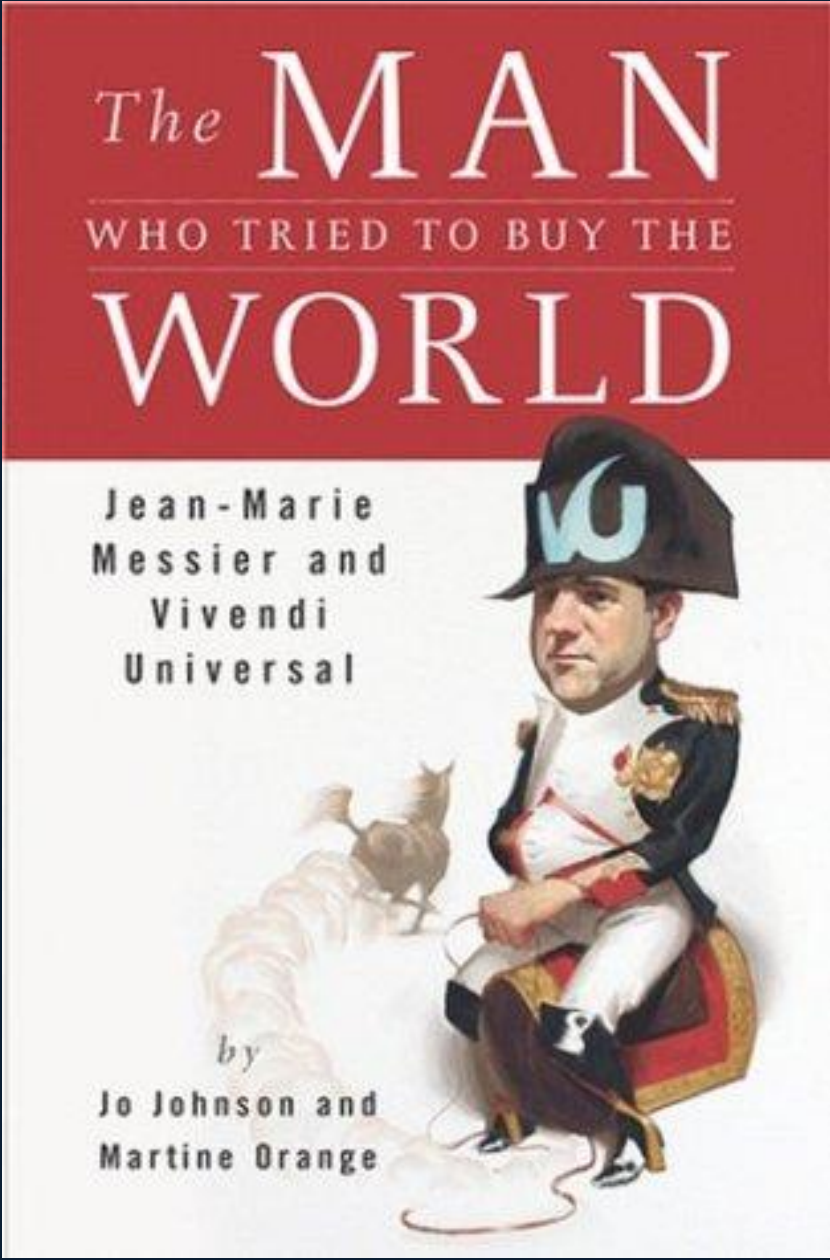
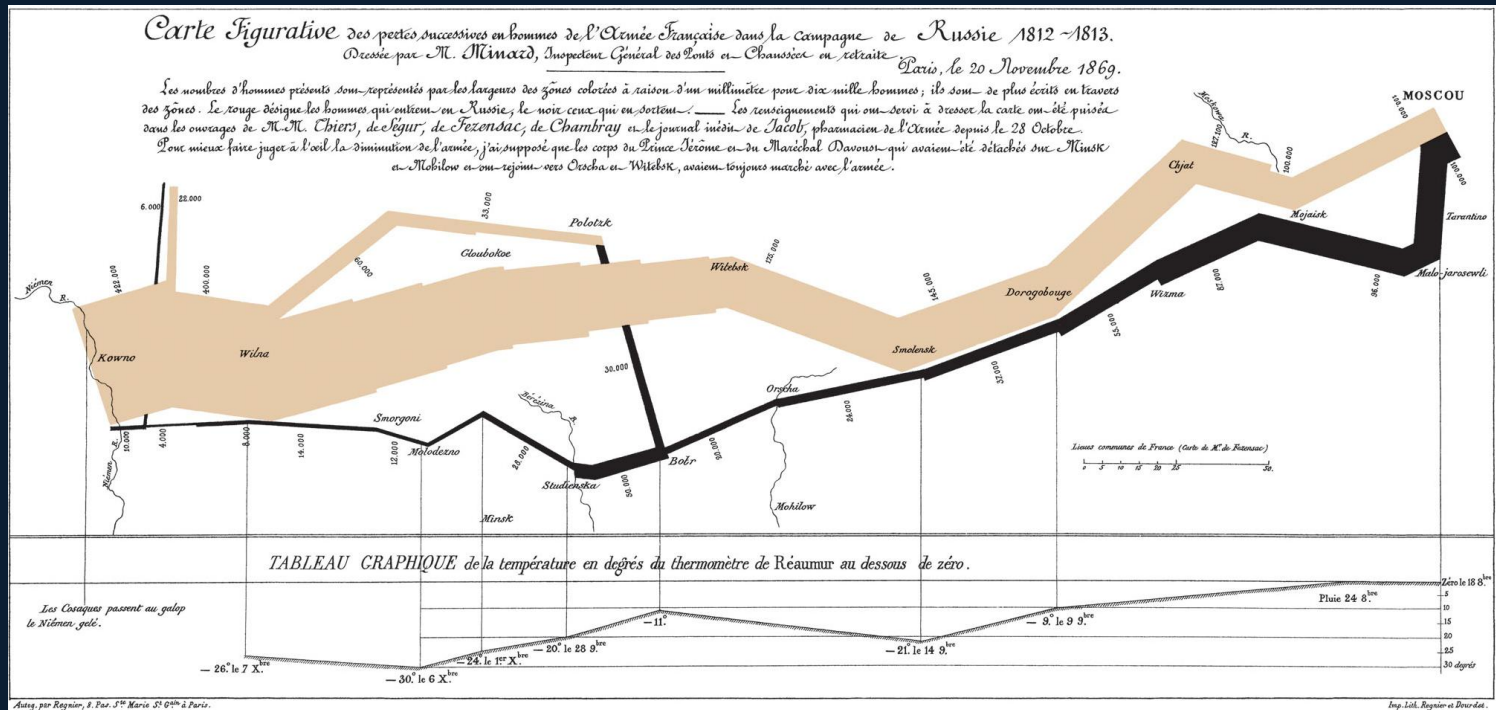
NEW

NEW (\$10.3B)

In 6 years: water utility → world's #2 media conglomerate. But, ...

Vivendi ADR Cumulative Return





Simple GE Model of Empire Building

- Common production function for all firms

$$F(k) = k^\alpha$$

- Manager's private benefit of running a large firm

$$G(k) = \epsilon F(k)$$

- GE under Jack Welch (no G):

$$\max_k F(k) - R k$$
$$k^{GE}(R) = (\alpha/R)^{1/(1-\alpha)}$$

- Vivendi under Messier:

$$\max_k F(k) + G(k) - R k$$
$$k^{Vivendi}(R) = (\alpha(1 + \epsilon)/R)^{\frac{1}{1-\alpha}} > k^{GE}(R)$$

- Measure λ firms are like Vivendi, $1 - \lambda$ like GE
- Market clearing:

$$\bar{K} = \lambda k^{Vivendi}(R) + (1 - \lambda)k^{GE}(R)$$

Comparative Statics in λ

- **[Shareholder] Capitalist Utopia: $\lambda = 0$**

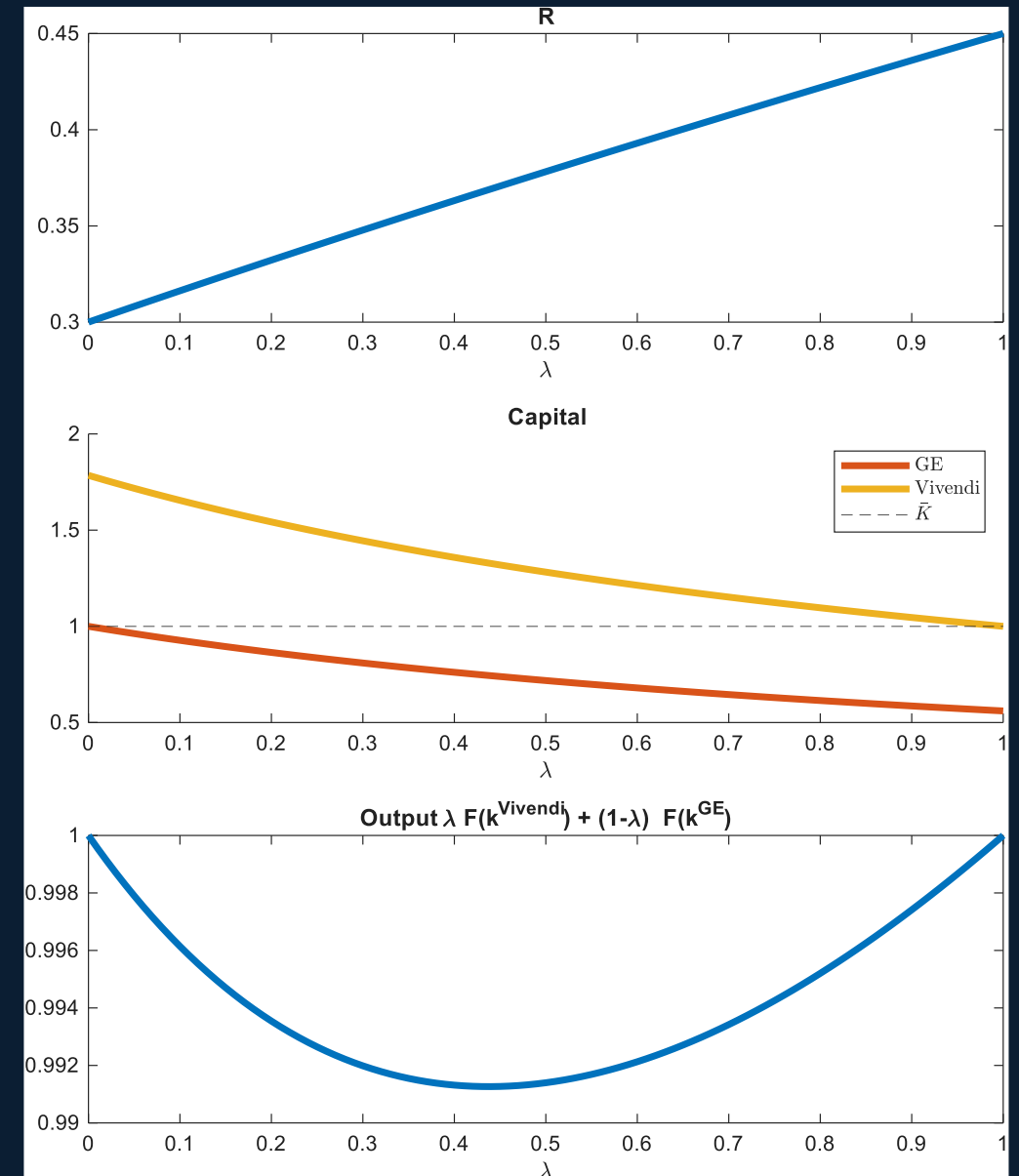
- $\bar{K} = k^{GE}(R)$
- Efficient allocation

- **Age of Empires: $\lambda = 1$**

- $\bar{K} = k^{Vivendi}(R)$
- Same allocation, just R is higher

- **Uneasy coexistence: $0 < \lambda < 1$**

- High $k^{Vivendi}(R)$ pushes up R
- Crowds out $k^{GE}(R)$
- Firms with same productivity invest differently $\rightarrow$ MPK dispersion/misallocation



Corporate Finance Frictions → Macro Models

Theoretical Friction	Mechanism Class	Theory Paper	(Some) Macrofinance Implementations
Shirking / Perks / Quiet Life	Agency Cost of Equity	Jensen & Meckling (1976)	Gertler & Karadi (2010); Gertler & Kiyotaki (2011); DeMarzo, Fishman, He, and Wang (2012), and many more... > IC constraint → max leverage
Empire Building / Overinvestment	Agency Cost of Equity	Jensen (1986)	Philippon (2006) Gourio & Villa (2026)
Asset Substitution / Risk-Shifting	Agency Cost of Debt	Jensen & Meckling (1976)	Allen & Gale (2001)
Debt Overhang / Underinvestment	Agency Cost of Debt	Myers (1977)	Gomes, Jermann, & Schmid (2016)
Adverse Selection / Pecking Order	Asymmetric Info (Ex-Ante)	Myers & Majluf (1984)	Guo, Ottonello, Winberry, & Whited (2025)
Costly State Verification	Asymmetric Info (Ex-Post)	Townsend (1979) / Gale & Hellwig (1985)	Bernanke & Gertler (1989) Bernanke, Gertler, & Gilchrist (1999)
Limited Pledgeability	Incomplete Contracts	Hart & Moore (1994)	Kiyotaki & Moore (1997)

Philippon (2006) vs. Gourio & Villa (2026)

Both embed empire-building motives in model with monopolistically competitive firms

1. Better governance scales back over-investment, leading to higher prices and markups and lower investment, employment, and output
2. Less productive firms more likely to be constrained
3. Degree to which over-investment by poorly governed firms crowds out well governed ones depends on the elasticity of inputs

Philippon (2006) vs. Gourio & Villa (2026): Differences

Focus

- Philippon studies amplification of business cycle shocks; GV compare steady states

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Disciplining threats

- Philippon has costly monitoring; GV has costly takeovers
 - GV allow for both fixed costs and costs proportional to firm value. P only has proportional costs.

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Dimension of heterogeneity

- P: heterogeneous governance quality (monitoring cost) & aggregate shocks
- GV: homogeneous governance quality (takeover cost) & idiosyncratic shocks

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Capital ownership

- In P, HHs own all capital and rent it to static firms
- In GV, firms own capital creating endogenous, history-dependent heterogeneity (Bewley 77; Aiyagari 94; Angeletos 07)

Capital Ownership: The Big Difference

This makes the model much harder to solve!

But it's necessary to credibly quantify the **general equilibrium costs** of empire-building

Strategy:

- Model creates a firm-time panel analogous to panel regressions in corporate finance literature studying the **partial equilibrium** effects of agency frictions
- Can run the same regression in the model, use it to discipline parameters, then infer GE costs
- Stay tuned: in a future version of the paper

Better Governance or Worse Competition?

Rise in shareholder capitalism same time as decline in competition (De Loecker, Eeckhout, Unger 2020)

- Same prediction: higher markups, lower investment
- Is the decline in competition unrelated?
 - Superstar firms (Autor), rise of intangible capital (Crouzet & Eberly), barriers to entry (Gutiérrez & Philippon)
 - And hence one should be careful not to attribute too much to governance...

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 - And hence one should be careful not to attribute too much to governance...
- Or is it an **additional explanation** for the decline in competition?
- Use the model's rich set of distributional predictions to tease it out.

“When goods markets are imperfectly competitive, firms are too small relative to the social optimum. In this case, managerial tendencies to increase investment, employment, and output are at the same time costly for shareholders and beneficial for the economy.”

— Philippon (2006)

What about entry?

On one hand,

- Over-investment, margins too small
- Lower incentive to enter

So improvement in governance should lead to **more entry!**

- But entry has declined as shareholder capitalism took root (Decker et al)

On the other hand,

- Over-investment, diseconomies of scale, opportunity for disruption
- Less room for entry because the incumbents are right-sized already?

Nature of Empire Building

Building the empire

- This paper: widget-making empire-builders retain earnings to build too many widget-making machines (“empire of scale”)
- Other (more empirically relevant?) ways to build an empire:
 - Buy rival widget-makers — different implications for competition
 - » **Privately** inefficient killer acquisitions? [Cunningham, Ederer, & Ma 21]
 - Buy film studios (empire of scope)
 - » Excessive diversification? [Bhandari, Jugulum, Veldkamp, Venkateswaran 26]

Financing the empire

- Pecking order: issue debt to buy/invest
- Over-investment today → debt overhang & underinvestment tomorrow?

Why do shareholders not contract around it?

“If shareholders and managers could write a long-term contract, there would be no need for shareholder pressure in any event.”

But they do — vesting schedules

Alternative theory

- The most competent managers derive the most utility from empire-building
- To attract the best, you must either pay them outright (in \$\$ or stock) or let them empire-build.
- Depending on cost of capital, maybe empire-building is cheaper?

⇒ **Testable predictions for governance over the firm lifecycle**

Conclusion

- Theoretically motivated and well-documented corporate finance frictions have macroeconomic consequences
- Shirking as agency cost of equity studied in countless papers
- Empire-building relatively understudied

Very promising paper!

- Lots you can do with the model
- Look forward to the next version